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Newmont Mining Swings to a Loss, Revises Dividend Policy

Company is updating its gold price-linked dividend policy to take advantage of rising prices

By Maria Armental

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A view of the Kalgoorlie Superpit gold mining operations in western Australia in August 2015. KIM CHRISTIAN/
EUROPEAN PRESSPHOTO AGENCY

Newmont Mining Corp. NEM -3.26% ▼ swung to a third-quarter loss, hurt by a charge tied to the planned sale of its stake in one of the largest copper deposits in Indonesia.

The deal, which had been expected to close in the third quarter, is now expected to close in the fourth quarter.

On an adjusted basis, however, the miner's profit more than doubled as it benefited

from higher prices and higher gold production.

Separately, Colorado-based Newmont, the world's No. 2 gold miner by production, said it was updating its gold price-linked dividend policy to take advantage of rising prices and said that Nancy K. Buese, most recently chief financial officer at MPLX LP, will take over as CFO on Oct. 31.

The company's next quarterly payout, under its old policy, will be on Dec. 29, when shareholders will receive 5 cents a share, double its previous payout.

Under the new policy, the company would pay at least 10 cents a share at gold prices below \$1,150 an ounce beginning in the first quarter.

Chief Executive Gary Goldberg had indicated last summer the miner intended to boost dividends.

"We have got our debt down," so now "we'll look at modifying our gold-price-linked dividend policy," Mr. Goldberg told The Wall Street Journal in an interview.

Over all, Newmont lost \$358 million, or 67 cents a share, compared with a year-earlier profit of \$219 million, or 42 cents a share. Profit from continuing operations rose 6% to \$169 million, or 32 cents a share.

Excluding certain items, profit surged to 38 cents a share from 13 cents a year earlier.

Revenue rose 15% to \$1.79 billion.

Analysts surveyed by Thomson Reuters had projected 50 cents a share in adjusted profit on \$1.9 billion in revenue.

Gold production rose 3.4% to 1.25 million ounces, while the average realized gold price rose 20% to \$1,329 a troy ounce. Meanwhile, copper output was roughly flat from the year-ago period at 15,000 metric tons as average realized prices rose 4% to \$2.04 a pound.

On Wednesday, Newmont raised the low end of its gold production this year to 4.8 million ounces from 4.7 million ounces and affirmed its projected copper production for the year.

It said it would give long-term projections next quarter.

After the Indonesian mine deal closes, about three-quarters of the company's production and reserves will be in the U.S. and Australia, and gold would account for more than 90% of reserves, company officials have said.

Gold prices have rebounded this year as investors turn to so-called haven assets, fueled by low and negative interest rates. Copper, considered a global economic barometer as it is used widely across manufacturing and construction, has been slower to recover amid an economic slowdown in China, the world's top copper buyer, and the stronger dollar.

Most commodities are priced in the U.S. currency, making them more expensive for buyers abroad when the dollar strengthens.

Newmont's stock, the S&P 500's best performer for the first six months of the year, closed Wednesday at \$36.18.

—*Rhiannon Hoyle contributed to this article.*

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Maria Armental covers private equity for The Wall Street Journal, with a focus on tech and health. Her coverage examines a wide-ranging and influential industry and some of its top dealmakers.

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